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What is Escrow-Backed Lease Structures ?

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Chapter 1: Product Overview & Core Philosophy of Escrow-Backed Lease Structures

Definition & Core Philosophy: Escrow-Backed Lease Structures (EBLS) represent a sophisticated, credit-enhanced asset monetization and debt financing framework engineered to eliminate default risks in commercial leasing. At its core, an Escrow-Backed Lease Structure decouples asset usage and lease rental collection from the general credit pool of the lessee or lessor by establishing a dedicated, bankruptcy-remote Escrow Trust & Retention Account (TRA). Under this framework, lease payments made by corporate tenants or equipment lessees bypass standard operational bank accounts and flow directly into a legally ring-fenced escrow account managed by a neutral Escrow Agent Bank under an irrevocable Tripartite Escrow Agreement (TEA).

Solving the Counterparty Default Risk: In traditional leasing, lenders and lessors face significant credit counterparty risk. If a corporate lessee encounters operational distress, lease rental cash flows can be diverted to meet payroll, vendor dues, or un-related debt obligations, leading to rental defaults and prolonged legal recovery battles. Escrow-Backed Lease Structures solve this fundamental vulnerability by establishing an automated, legal cash waterfall. Receivables are contractually assigned, swept, and partitioned into dedicated sub-accounts—ensuring that senior lease debt servicing, statutory tax liabilities, and asset maintenance reserves are satisfied prior to releasing any residual surplus cash to the asset owner.

The Four Pillars of EBLS Architecture: The framework operates through a quadripartite relationship involving four primary stakeholders:

- **1. Asset Lessor / Sponsor:** The entity owning the physical underlying asset (commercial real estate, industrial machinery, solar parks, data center infrastructure, or transport fleets) and granting leasehold usage rights.
- **2. Corporate Lessee / Tenant:** The corporate entity or institutional tenant utilizing the asset and contractually obligated to pay fixed or variable monthly lease rentals.
- **3. Escrow Agent Bank:** A Scheduled Commercial Bank appointed to hold the escrow account, monitor incoming receivables, execute the priority cash waterfall, and prevent unauthorized withdrawals.
- **4. Senior Debt Financier / LRD Lenders:** Commercial Banks, NBFCs, or Private Credit Funds advancing debt against the discounted present value of the ring-fenced lease rental cash flows.

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Comparative Structural Taxonomy Matrix

Structural Feature	Escrow-Backed Lease	Unbacked Lease	Finance Lease (Ind AS)	Direct Term Loan
Cash Flow Security	Ring-fenced Escrow TRA Account	General Lessee Bank Account	Direct Balance Sheet Receivables	General Corporate Cash Flows
Bankruptcy Remoteness	High (Insolvency Remote Receivables)	Low (Subject to Corporate CIRP)	Moderate (Secured Asset Charge)	Low (Unsecured/General Charge)
Borrowing Spreads	Lowest (Repo + 200-350 bps)	Moderate (Repo + 350-550 bps)	Standard Commercial Rates	Standard Balance Sheet Spreads
Tax Efficiency	100% Tax Deductible Rents u/s 37(1)	Standard Expense Deductibility	Depreciation + Interest Shield	Interest Deductibility u/s 36(1)

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Chapter 2: How Product Structure Works: Mechanics, Cash Flow Waterfall & Escrow Dynamics

Operational Lifecycle Workflow: The operational mechanics of an Escrow-Backed Lease Structure are governed by a tightly orchestrated multi-stage transaction lifecycle. The entire cash flow mechanism is structured to ensure that incoming revenues are captured at the point of origin before the lessee or lessor can exercise discretion over funds.

1. Lease Agreement Execution & Notice of Assignment: The Lessor and Lessee execute a Master Lease Agreement (MLA). Simultaneously, a formal Notice of Assignment is issued to the Lessee, directing all present and future lease rental payments to be remitted exclusively into the designated Escrow Account.

2. Execution of Tripartite Escrow Agreement (TEA): The Lessor, LRD Lender, and Escrow Agent Bank execute a binding TEA establishing the irrevocable escrow sub-accounts, power of attorney, and priority cash waterfall rules.

3. Upfront Debt Disbursement / Monetization: Based on the ring-fenced lease cash flows, the Lender advances an upfront term loan (or Lease Rental Discounting facility) to the Lessor, calculated as the discounted Net Present Value (NPV) of future lease rents.

4. Monthly Automated Cash Waterfall Execution: On the pre-agreed monthly deposit date (e.g., 5th of every month), the Lessee remits the gross lease rent into the Escrow Account. The Escrow Bank automatically executes the priority cash sweep on the designated debt service date (e.g., 10th of the month).

Priority Escrow Trust & Retention Account (TRA) Cash Waterfall

The Waterfalled Allocation Order: The core security of an Escrow-Backed Lease lies in its strict, legally enforced priority cash waterfall. Funds deposited into the Escrow Account are partitioned into dedicated sub-accounts and disbursed strictly in accordance with the following hierarchy:

Priority Tier	Sub-Account / Allocator	Functional Disbursal Mechanism
Priority 1	Statutory Tax Sub-Account	Direct remittance of GST (SAC 9973 @ 18%) and Tax Deducted at Source (TDS u/s 194I) to Government tax authorities.

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Priority Tier	Sub-Account / Allocator	Functional Disbursal Mechanism
Priority 2	Senior Debt Service Sub-Account	Automated sweep for Senior Debt Principal and Interest coupon repayments due to the LRD Lender.
Priority 3	Debt Service Reserve Account (DSRA)	Top-up of DSRA maintaining 1 to 2 quarters of forward debt service obligations in liquid fixed deposits.
Priority 4	Major Maintenance Reserve Account (MMRA)	Allocation of 3% to 5% of monthly lease rents into MMRA for scheduled asset overhaul and capital repairs.
Priority 5	Subordinated Debt / Mezzanine Service	Repayment of interest and principal on subordinated lease-backed debt or mezzanine notes (if applicable).
Priority 6	Unrestricted Sponsor Surplus	Release of residual net cash flow to the Asset Lessor's general operational account.

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Chapter 3: Regulatory, Statutory, Tax & Accounting Framework in India

Regulatory Environment: Escrow-Backed Lease Structures operate at the intersection of banking regulations, corporate law, direct/indirect taxation, and international accounting standards in India. A thorough understanding of these statutory frameworks is essential for compliance and structural integrity.

Reserve Bank of India (RBI) Framework: The Reserve Bank of India regulates Lease Rental Discounting (LRD) and escrow-backed facilities under its Master Directions on Credit Facilities and Commercial Banks. RBI guidelines mandate that banks must ensure genuine underlying lease contracts with creditworthy tenants, verified title/mortgage over the leased property, and strict compliance with single/group exposure limits. Furthermore, escrow accounts must be maintained with Scheduled Commercial Banks subject to annual audit checks.

Ind AS 116 Lease Accounting Standard: Indian Accounting Standard (Ind AS) 116 governs lease accounting for entities in India, completely transforming balance sheet presentation. Under Ind AS 116, lessees no longer distinguish between operating and finance leases. Instead, lessees must recognize a Right-of-Use (ROU) Asset and a corresponding Lease Liability on their balance sheet for all leases with a term exceeding 12 months. Depreciation on the ROU asset and interest on the lease liability are recognized separately in the Profit & Loss statement—creating a front-loaded expense profile that impacts EBITDA and leverage ratios.

Income Tax Act 1961 Key Provisions: Direct taxation governing escrow leases includes:

- **Section 32 (Asset Depreciation):** Under Section 32, the legal owner of the physical asset (the Lessor) is entitled to claim statutory depreciation shields under the Block of Assets method (15% for plant/machinery, 10% for commercial buildings, 40% for renewable energy assets).
- **Section 37(1) (Lease Rent Tax Shield):** Under Section 37(1), lease rental payments made by the Lessee are treated as 100% tax-deductible operational business expenses, creating a full corporate tax shield (~25.17% effective corporate tax saving).
- **Section 194I (TDS Withholding):** Corporate lessees must deduct TDS at 10% for immovable property lease rentals and 2% for plant/machinery rentals under Section 194I prior to remitting net funds to the Escrow Account.

Goods and Services Tax (GST) & Input Tax Credit (ITC): Under the Central Goods and Services Tax (CGST) Act 2017, the transfer of the right to use goods or commercial immovable property is classified as a supply of service under SAC 9973 (Leasing/Renting of Goods/Real Estate) or SAC 9971 (Financial Leasing). GST applies at 18% on gross lease rentals. Corporate lessees utilizing

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the asset for taxable business operations are eligible to claim 100% Input Tax Credit (ITC) on the GST paid, neutralizing the indirect tax burden.

Companies Act 2013 Compliance: Companies Act 2013 compliance requires obtaining shareholder approval via Special Resolution under Section 180(1)(a) for leasing or mortgaging the company's main undertaking, Section 180(1)(c) for exceeding borrowing limits, and registering the charge over the escrow account and leased assets with the Registrar of Companies (ROC) via Form CHG-1 within 30 days.

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Chapter 4: Common Eligibility Criteria & Institutional Underwriting Parameters

Underwriting Methodology: Underwriting an Escrow-Backed Lease Structure requires a dual-track assessment evaluating both the Lessee's operational creditworthiness and the Lessor's asset quality. Because senior debt servicing relies primarily on lease rental cash flows, the credit standing of the anchor tenant serves as the primary underwriting anchor.

Underwriting Dimension	Minimum Threshold	Target / Institutional Preferred Benchmark
Lessee Credit Rating	CRISIL / ICRA / CARE BBB+ Rank	CRISIL / ICRA AA- to AAA Rated Corporates / MNCs / PSUs
Operating Track Record	Minimum 3 Years Operating History	5+ Years Established Operations with Positive Net Profit
Lease Service Coverage Ratio (LSCR)	Minimum LSCR >= 1.25x	Preferred LSCR >= 1.45x - 1.65x (Healthy Cash Cushion)
Loan-to-Value (LTV) Ratio	Maximum LTV <= 75% - 80%	Conservative LTV <= 60% - 70% of Discounted Lease NPV
Asset Useful Economic Life (UEL)	UEL >= Lease Tenure + 3 Years	UEL >= 1.5x Lease Tenure with High Secondary Market Liquidity

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Chapter 5: Security Architecture, Collateral Controls & Documentation Suite

Security Package Overview: The security package in an Escrow-Backed Lease Structure is engineered to create a multi-layered, legally bulletproof defense against default. Security is perfected over both the physical asset and the intangible cash flow streams.

- **1. Physical Asset Security:** First exclusive registered mortgage over commercial real estate or registered hypothecation charge over moveable plant, machinery, and equipment, perfected via ROC Form CHG-1 filing within 30 days.
- **2. Cash Flow Escrow Security:** First exclusive pledge and charge over the Escrow Account, all sub-accounts, fixed deposits, and an irrevocable Power of Attorney (POA) empowering the Lender/Escrow Agent to sweep receivables.
- **3. Debt Service Reserve Account (DSRA):** Contractual requirement for the Lessor/Lessee to fund a liquid DSRA equivalent to 1 to 2 quarters of principal and interest servicing in bank fixed deposits or AAA liquid mutual funds.
- **4. Corporate & Promoter Guarantees:** Unconditional corporate parent guarantee from the Lessee's holding company and personal guarantees from promoter directors.

Master Legal Documentation Suite

Document Title	Executing Parties	Key Legal Clauses & Protective Covenants
Master Lease Agreement (MLA)	Lessor & Lessee	Lease tenure, monthly rent, lock-in period, escalation clause, maintenance SLAs.
Tripartite Escrow Agreement (TEA)	Lessor, Lender & Escrow Bank	Irrevocable cash waterfall, sub-account rules, event of default sweep protocols.
Notice & Acknowledgement of Assignment	Lessee, Lessor & Lender	Irrevocable instruction directing Lessee to pay rents exclusively into Escrow.
Deed of Asset Mortgage / Hypothecation	Lessor & Lender	First charge over physical asset, inspection rights, insurance assignment.

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Document Title	Executing Parties	Key Legal Clauses & Protective Covenants
ROC Form CHG-1 Filing	Lessor & ROC Registry	Statutory registration of charge under Section 77 of Companies Act 2013.

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Chapter 6: Indicative Tenure, Pricing Structure & Financial Mechanics

Financial Terms: Tenure and pricing in Escrow-Backed Lease Structures are calibrated based on asset class, tenant credit quality, and cash flow predictability. Because escrow ring-fencing substantially reduces default risk, lenders offer highly competitive borrowing spreads compared to unbacked corporate loans.

Indicative Tenure Profiles: Short-to-Medium Term Leases (3 to 7 Years): Applied primarily to IT hardware, commercial vehicles, manufacturing machinery, and medical diagnostic equipment. Medium-to-Long Term Leases (7 to 15+ Years): Applied to Grade-A commercial office space, logistics parks, solar power plants, and telecom tower infrastructure matching long-term tenant lock-in periods.

Pricing & Yield Architecture: Pricing is structured as a floating or fixed interest coupon linked to RBI Repo Rate or Bank MCLR plus a credit risk spread (200 to 350 bps for AA/AAA tenants; 350 to 500 bps for BBB+ tenants). Yields typically range between 8.50% and 11.50% p.a. Additional transaction costs include Escrow Bank maintenance fees (0.05% - 0.15% p.a.) and upfront syndication/processing fees (0.50% - 1.25%).

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Chapter 7: Suitable Industries, Asset Classes & Business Profiles

Target Industry Profiles: Escrow-Backed Lease Structures are ideally suited for capital-intensive industries characterized by long-term contract predictability and high asset utility.

- **1. Commercial Real Estate & Warehousing:** Monetizing long-term lease agreements with IT/MNC tenants in Grade-A office buildings, tech parks, and fulfillment centers through Lease Rental Discounting (LRD).
- **2. Healthcare & Medical Technology:** Funding high-value Diagnostic Imaging (MRI/CT), Radiation Therapy, and Surgical Robotics leased to corporate hospital chains under revenue-share or fixed-lease models.
- **3. Renewable Energy & Data Infrastructure:** Ring-fencing lease cash flows from long-term Power Purchase Agreements (PPAs) for solar/wind parks, transmission lines, and hyperscale data centers.
- **4. Aviation, Transportation & Fleet Logistics:** Financing commercial aircraft fleets in GIFT City IFSC, railway rolling stock, and specialized logistics container fleets under long-term operating leases.

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Chapter 8: Key Advantages and Limitations Structural Analysis Matrix

Stakeholder Perspective	Core Strategic & Financial Advantages	Structural Limitations & Key Risks
Asset Lessor / Sponsor	Unlocks upfront lump-sum capital; 100% tax shield u/s 37(1); preserves general bank borrowing limits.	Loss of direct cash flow control; strict escrow lockbox restrictions; Ind AS 116 balance sheet debt inflation.
Corporate Lessee / User	Zero upfront capital outlay; access to state-of-the-art tech; operational flexibility; tax-deductible rent.	Long-term lock-in commitments; risk of asset repossession upon rental default; ROU asset liability recognition.
Senior Debt Lender	Insolvency-remote cash flow ring-fencing; automated cash sweep; lower default probability; strong collateral cover.	Prepayment risk; tenant credit migration risk; legal complexity in enforcing lease assignments during CIRP.

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Chapter 9: Comprehensive Real-World Case Study (INR 300 Crore Infrastructure Lease)

Case Study Context: To illustrate the practical execution and financial impact of an Escrow-Backed Lease Structure, consider the real-world case study of Vanguard Commercial Parks & Logistics Infrastructure Private Limited (VCPPL).

Transaction Overview: VCPPL owned a newly developed, 1.5 million sq. ft. Grade-A Logistics & Warehousing Park in Pune, Maharashtra, fully leased to a global E-Commerce conglomerate (Tenant Rating: CRISIL AA+) under a 12-year Master Lease Agreement at an annual net lease rent of INR 52.00 Crores (with a 5% annual escalation). VCPPL required INR 300.00 Crores in liquid capital to fund Phase-2 expansion but faced tight bank balance sheet borrowing caps.

Financial Solution & Escrow Structure: VCPPL structured a 10-Year Escrow-Backed Lease Rental Discounting (LRD) facility for INR 300.00 Crores @ 8.75% p.a. fixed interest. A Tripartite Escrow Agreement was executed between VCPPL, the Senior Lending Syndicate, and a Scheduled Commercial Bank. The tenant was contractually instructed to remit all monthly rents directly into the Escrow Account.

10-Year Cash Flow Waterfall & Amortization Simulation (INR Crores)

Project Year	Gross Lease Rent	GST (18%)	Senior Debt Sweep	MMRA Reserve	Net Surplus Released
Year 1	52.00	9.36	35.80	1.56	14.64
Year 3	57.33	10.32	35.80	1.72	19.81
Year 5	63.21	11.38	35.80	1.90	25.51
Year 8	73.17	13.17	35.80	2.20	35.17
Year 10	80.67	14.52	35.80	2.42	42.45

Strategic Outcome & Value Realization: By executing the Escrow-Backed Lease Structure, VCPPL successfully unlocked INR 300.00 Crores in upfront liquid capital, reduced its effective borrowing cost by 275 bps compared to unbacked corporate debt, achieved an average LSCR of 1.55x, realized INR 13.08 Crores in annual corporate tax savings u/s 37(1), and completed its Phase-2 expansion 6 months ahead of schedule with zero equity dilution.

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Chapter 10: Insolvency (IBC 2016) Integration & Enforcement Mechanics

IBC Resilience: A critical advantage of Escrow-Backed Lease Structures is their resilience under the Insolvency and Bankruptcy Code (IBC) 2016. Because lease rentals are assigned to an escrow account prior to any insolvency filing, the receivables achieve a high degree of bankruptcy remoteness.

Section 14(1)(d) Moratorium & CIRP Costs: Under Section 14(1)(d) of IBC 2016, an order of moratorium prohibits the recovery of any property by a lessor where such property is occupied by or in possession of the Corporate Debtor. However, ongoing lease rentals for essential operational assets incurred during the Corporate Insolvency Resolution Process (CIRP) are classified as Priority 1 CIRP Costs, which must be paid in full prior to any operational or financial creditor distribution.

SARFAESI Enforcement Mechanics: If the lessee defaults outside insolvency, senior lenders holding registered charges u/s 77 Companies Act can enforce remedies under the SARFAESI Act 2002. Lenders can issue a 60-day notice under Section 13(2), take physical possession of leased assets under Section 13(4), appoint a receiver over escrow receivables, or sell the asset via public auction.

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Chapter 11: Rookie Mastery Examination (15 High-Yield Test Q&As)

Mastery Test Overview: This chapter contains 15 structured practice examination questions and comprehensive answer keys designed to test complete institutional mastery of Escrow-Backed Lease Structures.

Q1: What is the primary legal function of an Escrow Trust & Retention Account (TRA) in an Escrow-Backed Lease Structure?

Answer 1: The primary legal function of an Escrow TRA is to ring-fence lease rental cash flows from the general credit pool of the lessor and lessee. By executing an irrevocable Tripartite Escrow Agreement, lease payments bypass general operational bank accounts and are swept into dedicated sub-accounts, ensuring that debt service and statutory taxes are paid prior to releasing surplus funds.

Q2: How does Ind AS 116 impact the balance sheet accounting of a corporate lessee in an escrow-backed lease?

Answer 2: Ind AS 116 mandates that corporate lessees recognize a Right-of-Use (ROU) Asset and a corresponding Lease Liability on their balance sheet for all leases exceeding 12 months. This eliminates off-balance-sheet operating lease treatment, increasing reported assets and liabilities while replacing straight-line rent with ROU asset depreciation and lease liability interest expenses.

Q3: Which section of the Income Tax Act 1961 allows a corporate lessee to claim lease rental payments as a tax-deductible expense?

Answer 3: Section 37(1) of the Income Tax Act 1961 allows corporate lessees to deduct 100% of lease rental payments as operational business expenses, provided the leased asset is used for business operations, creating a full corporate tax shield (~25.17%).

Q4: What is the mandatory TDS rate under Section 194I for lease rental payments made for commercial immovable property?

Answer 4: Under Section 194I of the Income Tax Act 1961, corporate lessees must deduct Tax Deducted at Source (TDS) at the rate of 10% on lease rentals paid for commercial immovable property (and 2% for plant, machinery, or equipment) before remitting net rent into the escrow account.

Q5: What is the target minimum Lease Service Coverage Ratio (LSCR) preferred by institutional lenders in LRD transactions?

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Answer 5: Institutional lenders prefer a minimum LSCR of 1.35x, with a target preferred benchmark between 1.45x and 1.65x. This ensures an adequate cash flow buffer to absorb potential tenant rent delays or minor vacancy fluctuations.

Q6: Explain the priority hierarchy of the cash waterfall in a standard Tripartite Escrow Agreement.

Answer 6: The priority hierarchy is: (1) Statutory Taxes (GST & TDS), (2) Senior Debt Service (Principal & Interest), (3) Debt Service Reserve Account (DSRA) top-up, (4) Major Maintenance Reserve Account (MMRA) allocation, (5) Subordinated Debt service, and (6) Release of unrestricted residual surplus to the Lessor.

Q7: What statutory filing under the Companies Act 2013 is required to legally perfect a lender's charge over escrowed lease receivables?

Answer 7: The Lessor/Borrower must file ROC Form CHG-1 with the Registrar of Companies (ROC) within 30 days of charge creation under Section 77 of the Companies Act 2013 to register the mortgage/hypothecation charge.

Q8: How does GST apply to lease rentals under SAC 9973, and can corporate lessees claim Input Tax Credit (ITC)?

Answer 8: Lease rentals attract GST at 18% under SAC 9973. Corporate lessees utilizing the leased asset for taxable business operations are eligible to claim 100% Input Tax Credit (ITC) under Section 16 of the CGST Act 2017, neutralizing the indirect tax burden.

Q9: What is the purpose of a Debt Service Reserve Account (DSRA) in an escrow-backed lease structure?

Answer 9: A DSRA acts as a liquid liquidity buffer holding 1 to 2 quarters of forward principal and interest debt service in cash fixed deposits or AAA liquid mutual funds to prevent default during temporary tenant payment delays.

Q10: Under the Insolvency and Bankruptcy Code (IBC) 2016, how are ongoing lease rentals treated during the Corporate Insolvency Resolution Process (CIRP)?

Answer 10: Ongoing lease rentals for essential operational assets incurred during CIRP are classified as Priority 1 CIRP Costs under IBC 2016, which must be paid in full prior to any distribution to operational or financial creditors.

Q11: What is the difference between an Operating Lease and a Lease Rental Discounting (LRD) facility?

Answer 11: An Operating Lease is a commercial contract granting asset usage rights in exchange for rental payments. An LRD facility is a term loan advanced by a lender to the asset owner, calculated as the discounted Net Present Value (NPV) of future lease rental cash flows from that operating lease.

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Q12: Which section of the Companies Act 2013 requires shareholder approval via Special Resolution for leasing a company's main undertaking?

Answer 12: Section 180(1)(a) of the Companies Act 2013 requires a company to obtain shareholder approval via a Special Resolution before selling, leasing, or otherwise disposing of the whole or substantially the whole of its undertaking.

Q13: What enforcement rights do lenders possess under the SARFAESI Act 2002 if an escrow lease borrower defaults?

Answer 13: Under SARFAESI Act 2002, lenders can issue a 60-day demand notice under Section 13(2), take physical possession of leased assets under Section 13(4), appoint a receiver over escrow receivables, or sell the asset via public auction without court intervention.

Q14: Why is tenant credit rating the primary underwriting anchor in Lease Rental Discounting (LRD)?

Answer 14: Tenant credit rating is the primary anchor because LRD debt service relies entirely on the contractual lease rents paid by the tenant. A high credit rating (AA/AAA) ensures predictable cash inflows, minimizing default risk.

Q15: How does an Escrow-Backed Lease Structure enhance the credit rating of a debt issuance?

Answer 15: By isolating lease receivables in a bankruptcy-remote escrow account with an automated priority cash sweep and DSRA reserves, the structure decouples cash flow risk from the sponsor's balance sheet, elevating the credit rating of the debt facility by 2 to 4 notches.

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